$$\text{Debt collection period} = \frac{\text{Number of months in a year}}{\text{Trade receivables turnover ratio}} = \frac{12}{6} = 2 \text{ months}$$

(iii) Trade payables turnover ratio

Trade payables turnover ratio is the comparison of net credit purchases with average trade paybles during an accounting period. It gives the velocity of payment of cash towards trade payables. It is calculated as follows:

$$\text{Trade payables turnover ratio} = \frac{\text{Net credit purchases}}{\text{Average trade payables}}$$

$$\text{Net credit purchases} = \text{Total credit purchases} - \text{Purchases returns}$$

$$\text{Average trade payables} = \frac{\text{Opening trade payables} + \text{Closing trade payables}}{2}$$

$$\text{Trade payables} = \text{Trade creditors} + \text{Bills payable}$$

Greater the trade payable turnover ratio, better is the efficiency of the management in managing trade payable as it indicates that amount due to suppliers are settled quicker.

Tutorial note

In the absence of opening trade payables, closing trade payables can be taken instead of average trade payables.

Credit payment period

It is the average time taken by the business for payment of accounts payable. Lesser the credit payment period, greater is the efficiency of the management in managing accounts payable as it indicates quicker settlement of trade payables. It is calculated as follows:

$$\text{Credit payment period (in days)} = \frac{\text{Number of days in a year}}{\text{Trade payables turnover ratio}}$$

$$\text{Credit payment period (in months)} = \frac{\text{Number of months in a year}}{\text{Trade payables turnover ratio}}$$

Illustration 10

From the following figures obtained from Kalpana Ltd, calculate the trade payables turnover ratio and credit payment period (in days).

Particulars	₹
Credit purchases during 2018 – 2019	1,00,000
Trade creditors as on 1.4.2018	20,000
Trade creditors as on 31.3.2019	10,000
Bills payable as on 1.4.2018	4,000
Bills payable as on 31.3.2019	6,000

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